ZEPTO CAFE

Step 7: Risks, Trade-offs & Constraints

Demonstrating PM judgment: what could fail, what we chose not to optimise for, and what shaped the solution

Product	PM	Date
Zepto Cafe	**Rishi Raj Sahu**	**July 2026**

1. Risk Assessment

Risks are assessed on two dimensions: Likelihood (how probable is this happening?) and Impact (if it happens, how badly does it hurt the NSM or user trust?). Each risk has a pre-defined mitigation strategy — not a reactive plan

HIGH — Requires mitigation before launch	MEDIUM — Monitor; contingency in place	LOW — Accept; log and review monthly

1.1 Product Risks

#	Risk	Like-lihood	Impact	Mitigation Approach
P1	"Your Usual" card surfaces a wrong or unavailable item — user sees stale data and loses trust in the feature	HIGH	HIGH	Real-time availability check on card render (not at order time). If item unavailable, card shows next most-ordered item or is hidden entirely (FR-03 handles this). Freshness badge (S8) builds transparency around item quality.
P2	Push notification at 3:45 PM drives fatigue — users opt out en masse, permanently losing the CUE layer	MEDIUM	HIGH	Frequency cap: 1 push per working day, max 5/week (FR-07). 30-day cooldown after opt-out offer (FR-08). Opt-out rate guardrail <1%/week. If breached: immediately reduce to 3 pushes/week and A/B test copy.
P3	Reorder card CTR stays below 15% — the core reorder mechanism fails to drive behaviour change	MEDIUM	HIGH	Two-week A/B test on card copy, image size, and position before full rollout. If CTR <15% at week 2: card moves to top of Cafe home. If still <15% at week 4: escalate to design sprint. Do not ship S1 push until card CTR ≥20%.
P4	Stamp card reward (10th order free) cannibalises margin — users game the stamp system with low-AOV orders	LOW	MEDIUM	Minimum order value of ₹80 to earn a stamp (prevents ₹25 chai-only gaming). Free item value capped at ₹60 (e.g. masala chai). Net cost: ₹60 across 10 orders = ₹6/order effective discount vs. ₹10 without cap.
P5	D7 return rate target (≥30%) not met — the habit is not forming fast enough to hit the 6-month NSM	MEDIUM	HIGH	Sprint gate: if D7 <25% at Month 2, trigger First Reorder Accelerator (S15) ahead of schedule — bonus stamps for Order 2 within 3 days. If D7 <20%: pause Sprint 2 and run qualitative research on why users are not returning.
P6	"Your Usual" never updates — user's taste preferences change but the app keeps surfacing the same item for months	LOW	MEDIUM	Reorder card logic updates to most-ordered item in the trailing 30 days (not all-time). Post-order emoji rating (S9) can explicitly downgrade an item from "Your Usual" if user rates it poorly twice.

1.2 Technical Risks

#	Risk	Like-lihood	Impact	Mitigation Approach
T1	Push infrastructure fails to scale — 100K+ concurrent 3:45 PM pushes cause delivery delays or silent drops	**MEDIUM**	**HIGH**	Staggered push delivery: randomise send window from 3:40–3:55 PM (not exactly 3:45). Load test push pipeline at 150K concurrent before Sprint 1 launch. Monitor delivery-to-open latency; alert if P95 > 3 minutes.
T2	Reorder card API adds latency to Cafe home screen load — degrading experience for all users, not just repeat users	**MEDIUM**	**MEDIUM**	Serve reorder card from a pre-computed cache, refreshed every 15 minutes per user. Home screen renders without waiting for the card; card injects asynchronously. Home screen load time guardrail: P95 must not increase by >200ms.
T3	Stamp card loyalty backend becomes a complex dependency — one bug breaks the reward ledger for thousands of users	**LOW**	**HIGH**	Stamp card (S3) is Sprint 2, not Sprint 1. By the time it ships, the team has 6 weeks of production experience with the simpler reorder card. Stamp state is stored in a separate microservice with event-sourced audit log — no in-place mutation of stamp counts.
T4	Deep link from push breaks on specific Android OEM versions — users tap the push and land on the Zepto home screen, not the reorder card	**HIGH**	**MEDIUM**	Deep link handling tested against top 10 Android OEM/version combinations in QA (covering ~85% of Zepto user base). FR-06 explicitly specifies the deep link flow. Fallback: if deep link fails, route to Cafe home rather than the generic Zepto home.

1.3 Market & Execution Risks

#	Risk	Like-lihood	Impact	Mitigation Approach
M1	Competitor (Swiggy Instamart / Blinkit) copies the habit-loop approach within 3 months, eliminating the differentiation window	HIGH	MEDIUM	Zepto's structural advantage is order history data and existing Zepto Pass install base. Competitors cannot replicate 100K orders of behavioural data overnight. Speed of execution (Effort=1 features in Week 1) is the moat — ship before competitors can observe.
M2	Office worker target segment shifts to WFH — the desk-bound 3:45 PM snack break disappears for a meaningful cohort	LOW	MEDIUM	Push timing is user-configurable in v2. WFH users have different peak windows (11 AM, 2 PM). Persona 1 (Canteen Loyalist, full-time office) is ~40% of base — even if hybrid workers reduce desk time, the primary segment is structurally stable.
M3	Zepto Cafe quality consistency degrades during scale-up — the product drives repeat intent but the food quality breaks the habit loop	MEDIUM	HIGH	Quality is explicitly out of scope for this PM (kitchen ops, supply chain excluded). However: post-order rating (S9) is an early warning system. If average rating drops below 2.2/3 for any item, that item is auto-removed from "Your Usual" cards. Freshness badge (S8) only applies to items with ≥4/5 quality score.
M4	Engineering resource contention — Zepto's main grocery team deprioritises Cafe infra work, slipping Sprint 1 by 4-6 weeks	MEDIUM	MEDIUM	S5 reorder card and S4 banner are Effort=1 — largely frontend features using existing order history API. They do not require backend infra work. Only S1 push (Effort=2, Week 3-4) requires push pipeline work. This sequencing deliberately keeps Sprint 1 gate metrics accessible even if S1 slips.

2. Trade-off Analysis

Every PM decision involves saying no to something. This section makes those trade-offs explicit — both what was chosen and, critically, what was not chosen and why. A PM who cannot articulate their trade-offs has not thought through their decisions.

2.1 The Core Trade-off: Habit Architecture vs. Discount Engine

We chose: Build a behavioural habit loop (push + reorder card + stamp card) that creates durable repeat behaviour without eroding margins.

We did NOT choose: Discount-led activation (10% off second order, ₹50 cashback on reorder, free delivery for 30 days).

The discount path would have been faster to build (Effort=1, just a coupon rule) and would almost certainly produce a D7 repeat rate spike. But the data is unambiguous: discounts rank last as a repeat trigger (20% of survey respondents). Users who return for a discount do not return without one. The LTV model breaks: a ₹10 discount on a ₹100 order is a 10% margin compression on every reorder, in perpetuity for users conditioned on the discount.

The habit loop approach is harder to build and slower to show results (D30 repeat rate takes 30 days to measure). But once the habit forms, it is self-sustaining. The CUE (push) fires itself. The REWARD (stamp) is a one-time cost. The long-term unit economics are categorically better.

2.2 Detailed Trade-off Table

Decision	What We Chose	What We Did NOT Choose	Why This Trade-off
Activation mechanism	Behavioural cues (push + reorder card)	Discount vouchers on second order	Discounts create discount-dependent users. The 12% repeat rate problem is not a price problem — survey shows discounts ranked last as a return trigger.
Push timing	Fixed 3:45 PM Mon-Fri based on survey data	ML-optimised per-user send time (Phase 2)	ML requires 6+ weeks of training data. Fixed time ships Week 3 and validates the concept. Per-user optimisation is Sprint 4.
Reorder card content	"Your Usual" — single most-ordered item	Full order history carousel or AI recommendations	One item = one decision = zero friction. A carousel introduces choice paralysis. Recommendation engine requires Effort=3. The simpler version ships Week 1.

Decision	What We Chose	What We Did NOT Choose	Why This Trade-off
Stamp card free item	10th order free (spread across 10 orders)	Instant 20% off on order 2	10th-order reward builds investment over time — loss aversion from stamp 5 onwards keeps users coming back. Instant discount is a one-time event with no compounding.
Push channel	In-app push notification only (v1)	WhatsApp + SMS + in-app (multi-channel)	WhatsApp requires a separate opt-in flow (TRAI compliance). SMS has low open rates and no deep-link. In-app push is the highest CTR channel for Zepto's user profile.
Quality improvement	Quality signal via freshness badge and ratings (S8, S9)	Kitchen-side freshness tracking, supply chain SLA, chef certification	Kitchen ops and supply chain are explicitly out of scope. Freshness badge is a demand-side signal — it routes users to high-quality items rather than mandating quality across all items.
Target persona priority	Persona 2 (App Experimenter) first — highest conversion probability	Persona 1 (Canteen Loyalist) first — largest segment	Persona 1 has a subsidised canteen competing directly with Zepto. Winning them requires quality and consistency, which is harder to guarantee in v1. Persona 2 has no competing subsidised option — they are the path of least resistance to the first repeat order.
Rollout geography	Tier 1 cities only in Sprint 1	Pan-India from Day 1	Push infrastructure and item availability are most reliable in Bengaluru, Delhi/NCR, Hyderabad, Pune, Mumbai. Tier 2 city expansion introduces kitchen partner quality variance that could break the freshness badge signal.

3. Constraints That Shaped the Solution

Constraints are not excuses — they are the design inputs that defined the solution space. This section documents each constraint, its source, and the specific product decision it forced or enabled.

3.1 Business Constraints

Constraint	Source	How It Shaped the Solution
Must improve repeat usage WITHOUT relying only on discounts	Assignment brief	Forced the habit architecture approach. Pushed us toward behavioural cues (push, reorder card) and accumulative rewards (stamp card) rather than the simpler discount coupon route. The stamp card's 10th-order structure is specifically designed to avoid a per-order discount mechanic.
Must live inside Zepto Cafe's existing app experience	Assignment brief	No new apps, no WhatsApp bot, no standalone loyalty app. Every surface (reorder card, banner, push, stamp card) must be implementable within the existing Zepto app navigation. This ruled out solutions like a dedicated "Cafe Rewards" sub-app or a social sharing platform.
6-month target window to reach 25% repeat rate	PRD / brief	Drove the sprint sequencing — Effort=1 features in Month 1, Effort=2 in Month 2, Effort=3 in Month 3. A longer window would have allowed a bigger v1 launch. The 6-month constraint meant the highest-RICE, lowest-effort features had to lead.
GMV run-rate ~$100M/ year; 100K daily orders	Brief / PRD	The ₹100 AOV constraint makes large per-order discounts economically unfeasible. A ₹20 discount on a ₹100 order is 20% margin compression — unsustainable. This reinforced the no-discount constraint and pushed toward zero-marginal-cost habit features (push notifications, reorder card).

3.2 Technical Constraints

Constraint	Source	How It Shaped the Solution
Push notification requires prior user opt-in (Android 13+ / iOS)	OS platform policy	S1 only fires push for users who have already granted notification permissions. This is why the in-app banner (S4) ships simultaneously — it is the fallback CUE for users without push enabled. The solution was designed as a two-CUE system, not a push-only system.

Constraint	Source	How It Shaped the Solution
Order history API is shared with Zepto grocery — Cafe order history must be filtered at query time	Engineering (inferred from PRD scope)	Reorder card (S5) must filter order history to Cafe-only orders. This is not a separate data store — it is a parameter flag on an existing API. Keeps S5 Effort=1 but requires QA on the filter logic to prevent a grocery item appearing in "Your Usual".
Home screen render budget — additional API calls cannot delay first paint	Engineering guardrail	Reorder card content is served from a pre-computed cache, not a synchronous API call on home screen load. This was a technical constraint that also made the solution more robust — cache means the card is available even if the order history API is temporarily degraded.
TRAI regulations on commercial SMS/ WhatsApp require separate opt-in DLT registration	Regulatory	Ruled out SMS and WhatsApp as v1 push channels. In-app push is outside TRAI's commercial message regulations (it requires only OS-level permission, already granted by ~70% of active Zepto users). This made in-app push the obvious v1 channel.

3.3 Scope Constraints (Explicit Out-of-Scope Decisions)

What Is Out of Scope	Why It Was Explicitly Excluded
Kitchen operations and food preparation quality	Not within the PM's control surface. Addressed indirectly via the freshness badge demand-side signal and the post-order rating early-warning system.
Delivery partner operations and SLA improvements	Supply chain and routing are a separate P&L and team. Any improvement here would be a positive externality, not a dependency.
Full Zepto grocery app redesign	The brief explicitly excludes this. Cafe features are additive to the existing app, not a reason to redesign navigation.
Restaurant or kitchen partner onboarding changes	Vendor management and partner economics are out of the product PM's remit for this initiative.
Backend routing and dispatch system changes	Order fulfillment logic is managed by a separate engineering team. The habit loop is entirely demand-side (user-facing) and has zero dependency on dispatch.
Social platform or Zepto community features	Considered under S10 (social proof) and S11 (group ordering) but moved to Phase 2. Building a social graph from scratch is Effort=4 and out of the 6-month window.

4. PM Judgment Summary

The three hardest judgment calls made in designing this solution:

Judgment 1: Push before perfection

The Chai O'Clock push (S1) fires at a fixed 3:45 PM for all users — not at the individually optimal time for each user. ML-optimised timing would be more effective. The judgment call was to ship the fixed-time version in Week 3 (validated by survey data showing 3:30–4:30 PM is the peak desk-break window) and treat ML timing as Phase 2. The cost of waiting for ML: 4+ months of habit-loop opportunity cost. The cost of shipping fixed time: some users whose break is at 11 AM or 2 PM get a less well-timed push. The asymmetry favours shipping.

Judgment 2: Stamp card AFTER reorder card — not simultaneously

The intuitive launch plan would be to ship the complete habit loop (reorder card + push + stamp card) together. The judgment call was to hold S3 stamp card until Sprint 2 (Month 2–3) and gate it on D7 return rate ≥30% from Sprint 1. The reason: building loyalty backend infrastructure for users who do not yet return is wasteful. If the reorder card does not work, the stamp card is irrelevant. Sprint 1 validates the hypothesis; Sprint 2 invests in the reward layer only if the hypothesis is confirmed.

Judgment 3: No win-back campaign in v1

Users who tried Zepto Cafe once and churned (the 88% who did not repeat) are not targeted in v1. The instinct is to launch a win-back push campaign targeting lapsed users. The judgment call was to exclude this: win-back campaigns require knowing *why* users churned (quality? price? discovered competitor?). Without that signal, a generic win-back push risks accelerating opt-outs among a cohort that has already made a negative product judgment. Sprint 2 and 3 data (rating scores, churn timing) will inform a v2 win-back campaign with segment-specific messaging.

Risk, trade-off, and constraint documentation is not defensive writing — it is the clearest signal that a PM has pressure-tested their own solution. The risks above are real, the trade-offs were genuinely difficult, and the constraints were not avoided but designed around.